



Akhuwat University

Department of Economics

B.S. 4 Years Program / Fifth Semester

Assignment 01: Advanced Microeconomics

Course Code: Econ 301

Note: Kindly ensure submission of the assignment by February 15, 2024, your adherence to this deadline is greatly appreciated, and feel free to contact me for any clarification or assistance.

Q. No. 1. Write short notes on the following:

(6x5=30)

- Indifference Curve
- Budget line
- Intertemporal Choice
- Optimal Consumption
- As the interest rate rise, does the intertemporal budget constraint become steeper or flatter?
- What is the present value of \$100 one year from now if the interest rate is 10%? What is present value if the interest rate is 5%?

Answer the following questions.

(2x15=30)

Q. No. 2. Unveiling the Power of Preferences: Exploring the Ordinal Approach to Utility Maximization.

Q. No. 3. Explain the intertemporal choice keeping in view the various factors influence the households face in the real world.